

VANGUARD TOTAL BOND MARKET INDEX FUND
Prospectus

Investor Shares - VTBMI
Admiral Shares - VTBMA
ETF Shares - VTBM

Prospectus Date: April 1, 2026

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1. FUND SUMMARY

INVESTMENT OBJECTIVE

The Fund seeks to track the performance of a broad, market-weighted bond index. Specifically, the Fund tracks the Bloomberg U.S. Aggregate Bond Index.

FEES AND EXPENSES

Shareholder Fees:

- Sales Charge (Load) on Purchases: None
- Purchase Fee: None
- Redemption Fee: None
- Account Service Fee: \$25 per year on accounts under \$5,000 (waived with e-delivery)

Annual Fund Operating Expenses:

- Investor Shares (VTBMI): Management 0.14%, Other 0.01%, Total 0.15%
- Admiral Shares (VTBMA): Management 0.04%, Other 0.01%, Total 0.05%
- ETF Shares (VTBM): Management 0.03%, Other 0.01%, Total 0.04%

EXAMPLE

\$10,000 investment, 5% return:

- Investor: 1Y \$15, 3Y \$48, 5Y \$85, 10Y \$192
- Admiral: 1Y \$5, 3Y \$16, 5Y \$28, 10Y \$64
- ETF: 1Y \$4, 3Y \$13, 5Y \$22, 10Y \$51

PORTFOLIO TURNOVER

For fiscal year ended December 31, 2025: 38.7% of average portfolio value (higher than equity funds due to bond rolling)

PRINCIPAL INVESTMENT STRATEGIES

The Fund employs an indexing investment approach using sampling to track the Bloomberg U.S. Aggregate Float Adjusted Index.

Under normal circumstances, at least 80% of total assets are invested in bonds held in the Index. The Fund maintains a portfolio of bonds that closely matches the Index.

PRINCIPAL RISKS

1. Interest Rate Risk - Bond prices fall when interest rates rise. Longer-duration funds experience greater price volatility.
2. Credit Risk - Bond issuers may default on principal or interest payments. The Index includes only investment-grade bonds.
3. Income Risk - Fund income may decline as bonds mature and proceeds are reinvested at lower prevailing yields.
4. Index Sampling Risk - The selected bonds may not match Index performance exactly.
5. Prepayment Risk - Mortgage-backed securities (about 25% of the Index) may be prepaid faster or slower than expected.
6. Call Risk - Some corporate bonds may be redeemed before maturity at the issuer's option.
7. Liquidity Risk - Some bond market segments are less liquid than others; trading costs rise in stressed markets.
8. Securities Lending Risk - Borrower default could result in loss.

PERFORMANCE

Annual Total Returns - Investor Shares (calendar years):

2016: +2.61%, 2017: +3.51%, 2018: +0.01%, 2019: +8.71%, 2020: +7.71%
2021: -1.65%, 2022: -13.16%, 2023: +5.71%, 2024: +1.36%, 2025: +4.83%

Highest quarter: +5.51% (Q4 2023). Lowest quarter: -5.91% (Q1 2022).

Average Annual Total Returns (period ended December 31, 2025):

- Investor Before Taxes: 1Y 4.83%, 5Y -0.55%, 10Y 1.91%
- Admiral Before Taxes: 1Y 4.93%, 5Y -0.45%, 10Y 2.01%
- ETF Market Price: 1Y 4.95%, 5Y -0.43%, 10Y 2.03%
- ETF NAV: 1Y 4.94%, 5Y -0.44%, 10Y 2.02%
- Bloomberg US Agg FA: 1Y 4.96%, 5Y -0.42%, 10Y 2.04%

INVESTMENT ADVISOR

Vanguard Fixed Income Group.

Portfolio Managers:

- Hilary B. Otieno, CFA - Lead Portfolio Manager (since 2016)
- Felix R. Vandenberg, CFA - Portfolio Manager (since 2019)
- Tomoko Y. Aiyer, CFA - Portfolio Manager (since 2023)

PURCHASE AND SALE OF FUND SHARES

- Online: investor.vanguard.com
- Mail: PO Box 982901, Valley Forge, PA 19482
- Phone: 800-555-0199

Minimum initial investments: same as VG-PR-001 (\$3,000 Investor / Admiral; 1 share for ETF).

TAX INFORMATION

Bond fund distributions are generally taxed as ordinary income. A portion of distributions attributable to U.S. Treasuries

2. MORE ON STRATEGIES AND RISKS

INDEX SAMPLING METHODOLOGY

Because the bond market includes thousands of individual securities with varying liquidity, the Fund holds a representative

SECTOR ALLOCATION (as of December 31, 2025, approximate)

- U.S. Treasury: 41.6%
- Mortgage-Backed Securities (Agency): 24.8%
- Corporate (Investment Grade): 23.9%
- Government-Related (Agency, Local Authority, Supranational): 8.2%
- ABS / CMBS: 1.5%

CREDIT QUALITY (as of December 31, 2025, approximate)

- AAA: 70.4% (includes Treasuries and agency MBS)
- AA: 2.8%
- A: 12.6%
- BBB: 14.2%

DURATION RISK

At 6.2 years effective duration, a 1% (100 basis point) parallel rise in rates is expected to reduce Fund NAV by approximately

3. FUND MANAGEMENT

The Vanguard Fixed Income Group manages the Fund. Effective advisory fee for fiscal year ended December 31, 2025: 0.03%

Portfolio Manager Biographies:

- Hilary B. Otieno, CFA - With Vanguard since 2009. B.A. Economics, Yale University; M.S. Financial Engineering, Columbia University.
- Felix R. Vandenberg, CFA - With Vanguard since 2014. B.S. Statistics, Stanford University.
- Tomoko Y. Aiyer, CFA - With Vanguard since 2018. B.S. Mathematics, University of Tokyo; M.S. Finance, NYU Stern.

4. INVESTING WITH VANGUARD

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Same procedures, account types, and policies apply as for VG-PR-001 and VG-PR-002. Subsequent investments: \$100 minimum

FREQUENT-TRADING POLICY

30-day round-trip restriction applies. Does not apply to ETF Shares.

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5. DIVIDENDS, CAPITAL GAINS, AND TAXES

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Income distributions: monthly. Capital gains distributions: annually (December), if any.

A portion of bond fund income may be derived from U.S. Treasury obligations, which are exempt from state and local income taxes.

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6. FINANCIAL HIGHLIGHTS - INVESTOR SHARES

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FY 2025: NAV start \$9.78, NAV end \$9.91, Total Return 4.83%, Net Assets \$96.4B, Expense Ratio 0.15%, Turnover 38.7%
FY 2024: NAV start \$9.85, NAV end \$9.78, Total Return 1.36%, Net Assets \$89.1B, Expense Ratio 0.15%, Turnover 41.2%
FY 2023: NAV start \$9.61, NAV end \$9.85, Total Return 5.71%, Net Assets \$84.7B, Expense Ratio 0.15%, Turnover 36.4%
FY 2022: NAV start \$11.42, NAV end \$9.61, Total Return -13.16%, Net Assets \$76.3B, Expense Ratio 0.15%, Turnover 39.8%
FY 2021: NAV start \$11.81, NAV end \$11.42, Total Return -1.65%, Net Assets \$93.2B, Expense Ratio 0.15%, Turnover 42.5%

Fund inception: December 11, 1986. Annualized total return since inception (Investor Shares): 5.41%.

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7. CONTACT INFORMATION AND RELATED DOCUMENTS

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Telephone: 800-555-0199

Website: investor.vanguard.com

Mail: PO Box 982901, Valley Forge, PA 19482

Related Documents:

- VG-PR-001 - Total Stock Market Index Fund Prospectus
- VG-PR-004 - Target Retirement 2050 Fund Prospectus (uses VTBMI as fixed-income building block)
- VG-PR-007 - Federal Money Market Fund Summary Prospectus
- VG-ED-001 - Fund Comparison Guide
- VG-OP-010 - Tax Document Guide

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